POLICY NUMBER: **FP-FIN-035**

BUSINESS COMBINATIONS

ACCOUNTING POLICY

The purpose of this policy is to provide comprehensive guidance regarding Hilton Worldwide Holdings Inc.'s ("Hilton" or the "Company") accounting for business combinations in accordance with U.S. Generally Accepted Accounting Principles ("GAAP") Accounting Standards Codification ("ASC").

POLICY STATEMENT

A business combination is a transaction or event in which an acquirer obtains control of one or more businesses. A business combination typically occurs through the purchase of the net assets or equity interests of a business.

Sometimes in a business combination, the Company could obtain control of an acquiree without transferring any consideration. This can be accomplished through, but not limited to, any of the following:

- The acquiree repurchases a sufficient number of its own shares so that an existing investor will become the majority shareholder and obtain control.
- Various rights lapse which had previously kept the Company from controlling an acquiree in which the Company held the majority voting interest.
- The Company obtains control of the acquiree by contract alone. The Company would not transfer any consideration in exchange for control of the acquiree nor hold any equity interests in the acquiree.[1] Any equity interests not held by the Company after obtaining control of the acquiree would be accounted for as non-controlling interests.[2]

SCOPE

Acquisitions of any existing hotel property should normally be accounted for as a business combination if that property meets the definition of a business. If the acquired hotel does not meet the definition of a business, it should be accounted for as an asset acquisition.

To meet the definition of a business, the acquired assets of the existing hotel property, as a set, must pass a screen test to determine if substantially all (generally 90% or more) of the fair value of the gross assets acquired is concentrated in a single, identifiable asset or group of similar identifiable assets.[3] A single, identifiable asset is an individual asset or group of assets that would be recognized as a single asset in a business combination[4] (Refer to the ***Initial Recognition and Measurement Section*** below). Examples of a single asset include 1) a tangible asset that is attached to another tangible asset and 2) an in-place lease intangible and the related leased asset.[4] A group of similar assets would be combined if the nature of the assets and risks associated with managing and creating outputs are similar.[5]

Illustration 1 – Performing the Screen Test to Determine if a Set Meets the Definition of a Business

Facts:

Company A acquired Hotel Resort X, a currently operating hotel property. The single identifiable assets were determined to be 1) Land & Building, 2) FF&E, and 3) Trade Name Intangible. Additionally as part of the acquisition process, Company A hired a valuation specialist to assess the market value of the single identifiable assets which are in the table below:

Asset	Fair Value (in millions of USD)
Land & Building	$338.3
FF&E	$8.6
Trade Name Intangible	$1.1
Total	$348.0

Analysis:

Company A determined that substantially all of the total fair value is concentrated to a single identifiable asset (Land & Building); therefore, the set does not pass the screen test and would not be a business.

Asset	% of Total
Land & Building	97.2%
FF&E	2.5%
Trade Name Intangible	0.3%
Total	100.0%

[1] *ASC 805-10-25-11, Business Combinations, Overall, Recognition*
[2] *ASC 805-10-25-12, Business Combinations, Overall, Recognition*
[3] *ASC 805-10-55-5A, Business Combinations, Overall, Implementation Guidance and Illustrations*
[4] *ASC 805-10-55-5B, Business Combinations, Overall, Implementation Guidance and Illustrations*
[5] *ASC 805-10-55-5C, Business Combinations, Overall, Implementation Guidance and Illustrations*

If the set passes the screen test, the set must have an input and a substantive process that together significantly contribute to the ability to create outputs.[6] Outputs are not required to be present as of the acquisition date[7]. For example, a currently operating hotel or temporarily closed hotel undergoing renovations but that is currently branded and has an organized workforce would generally meet the definition of a business (subject to further evaluation) and would be accounted for as a business combination. However, an incomplete or hotel still under construction generally would not meet the definition of a business. Such an acquisition would be considered an asset acquisition and not a business combination.

Some common scenarios or events that the Company may encounter and account for using business combinations guidance include the following:

- Purchase of a currently operating hotel property
- Purchase of a controlling interest in a JV or similar entity in which the Company previously owned an interest accounted for under the equity or cost method. An example may include the purchase of the remaining 75% equity interest in a JV or similar entity in which the Company previously owned a 25% equity interest.
- Initial consolidation of a variable interest entity
- Newly acquired control of a business pursuant to a contractual agreement
- The lapse of minority participating rights that previously prevented the Company from controlling one of our JVs or similar entities

The determination of whether the acquired activities and assets constitute a business is critical to determining how to appropriately account for an acquisition. Refer to **Appendix I** for a summary of the differences in accounting between a business combination and an asset acquisition.

APPLICABILITY

This policy applies to all Finance, Development and Legal personnel.

EXCLUSIONS/ EXCEPTIONS

- Formations of joint ventures or similar entities are not considered a business combination unless Hilton is subsequently determined to control the entity or be the primary beneficiary in a variable interest entity scenario. Refer to **FP-FIN-029 – Variable Interest and Voting Interest Accounting Policy**[8].
- Acquisitions of assets or groups of assets which do not constitute a business[2]. Refer to **Appendix I** for the key accounting differences and **FP-FIN-001 – Fixed Assets Accounting Policy** and **FP-FIN-017 – Intangible Assets Accounting Policy** for the accounting of acquisitions of assets or groups of assets which do not constitute a business.
- Acquisitions of not-for-profit entities[2];
- Subsequent accounting for assets, liabilities, and non-controlling interest recognized in a business combination[2].

AUTHORIZATIONS

Required Consultations with Accounting Research & Policy

Accounting Research & Policy must be notified of any real estate property or business acquisitions (as defined herein) in order to determine the appropriate accounting. Please contact a member of the Accounting Research & Policy Group or AccountingResearch&Policy@Hilton.com.

INITIAL RECOGNITION AND MEASUREMENT

a. Acquisition Method

Once the event or transaction has been determined to be a business combination the Company must apply the acquisition method which requires the following four steps:

a) Identify the acquirer;
b) Determine the acquisition date;

[6] *ASC 805-10- 55-5, Business Combinations, Overall, Implementation Guidance and Illustrations*
[7] *ASC 805-10-55-4 through 55-5, Business Combinations, Overall, Implementation Guidance and Illustrations*
[8] *ASC 805-10-15-4, Business Combinations, Overall, Scope and Scope Exceptions*

c) Recognize and measure the identifiable assets acquired, the liabilities assumed, and any non-controlling interest in the acquiree; and
d) Recognize and measure goodwill or gain from a bargain purchase.[9]

Identify the Acquirer

The first step in accounting for a business combination is identifying the acquiring entity (also referred to herein as the "Acquirer"). The Acquirer is the entity that obtains control of the Acquiree (i.e. the entity being acquired).[10] Generally, control is obtained by acquiring more than 50% of the voting interest in an entity.[11] In the case of the Company's acquisition of an entity this is often obvious as the Company is the Acquirer and typically pays cash as consideration in exchange for a majority of the voting interest in a business or hotel property.[12] The Company could also provide some other form of consideration or incur debt in exchange for the interest as well. Certain legal structures and transactions may add complexity to making the determination of the Acquirer.

In a case where the Company is determined to be the primary beneficiary of a variable interest entity or the controlling party to a similar entity, the Company should be considered the Acquirer[10] and thus follow the remaining three steps outlined below. Refer to **FP-FIN-029 – Variable Interest and Voting Interest Accounting Policy** for details on determining the primary beneficiary of a variable interest entity.

Determine the Acquisition Date

The second step in accounting for a business combination is determining the acquisition date. The acquisition date is the date control is obtained and is ordinarily the date that consideration is transferred/assets are received, liabilities assumed, or equity interests are issued by the Acquirer to the Acquiree.[13] Under some scenarios this may coincide with execution or closing date of the transaction. In a variable interest entity scenario, it would be the date the Company is first determined to be the primary beneficiary of a variable interest entity. Refer to **FP-FIN-029 – Variable Interest and Voting Interest Accounting Policy** for details on determining the primary beneficiary of a variable interest entity.

Recognize and Measure the Assets Acquire, Liabilities Assumed and Non-controlling Interests

The third step in accounting for a business combination is recognizing and measuring the acquired assets, assumed liabilities and any non-controlling interest. The Company will recognize (separate from goodwill) the identifiable assets acquired, liabilities assumed, and any non-controlling interests in the Acquiree at their acquisition date fair value.[14] Fair value, generally speaking, is defined as the price that would be received to sell an asset or paid to transfer a liability at the measurement date[15], which in the case of a business combination is the acquisition date. Refer to **FP-FIN-014 Fair Value Accounting Policy** for additional guidance on how the Company determines fair value. Examples of identifiable items recognized and valued in a business combination typically include, but are not limited to:

- Fixed Assets – Acquired fixed assets (including land, building and improvements, and furniture, fixtures, and equipment "FFE") are often the most valuable assets acquired and typically the focus of the acquisition. Typically, the Company will engage a valuation specialist regarding the fair value assessments of any acquired land, building, or FFE.

- Intangible Assets – Acquired intangible assets are typically recognized by the Company when they can be separated from the acquired business and sold[16]. In the case of a hotel acquisition the Company may acquire intangible assets related to above/below market leases[17] used in a property's operations, brand intangible asset related to a newly acquired trade name, proprietary software intangible assets, franchise or management agreement intangible assets (if the Company acquired a business with identifiable management or franchise fee streams), reacquired rights[18] and other separately identifiable intangible assets.

- Investments – Acquired investments must be recognized at fair value. Examples of acquired investments include cost and equity method investments in Joint Ventures ("JVs") or similar entities.

[9] ASC 805-10-05-4, Business Combinations, Overall, Overview and Background
[10] ASC 805-10-25-5, Business Combinations, Overall, Recognition
[11] ASC 810-10-15-8, Consolidation, Overall, Scope and Scope Exceptions
[12] ASC 805-10-55-11, Business Combinations, Overall, Implementation Guidance and Illustrations
[13] ASC 805-10-25-6 through 7, Business Combinations, Overall, Recognition
[14] ASC 805-20-30-1, Business Combinations, Identifiable Assets and Liabilities, and Any Noncontrolling Interest, Initial Measurement
[15] ASC 820-10-30-2, Fair Value Measurement, Overall, Initial Measurement
[16] ASC 805-20-25-10, Business Combinations, Identifiable Assets and Liabilities, and Any Noncontrolling Interest, Recognition
[17] ASC 805-20-25-12, Business Combinations, Identifiable Assets and Liabilities, and Any Noncontrolling Interest, Recognition
[18] ASC 805-20-25-14, Business Combinations, Identifiable Assets and Liabilities, and Any Noncontrolling Interest, Recognition

- Working Capital –Acquired working capital is based upon the Acquiree's carrying value due to the short term nature and frequent turnover of the underlying accounts that make up working capital. The Company will make acquisition-specific determinations regarding whether the carrying value is an appropriate approach to approximate the fair value of working capital.
- Long-term debt – Long-term debt assumed is typically valued based on market interest rates for comparable financings. Again the Company will make acquisition-specific determinations regarding the valuation and the need to engage valuation professionals.
- Other Assets or Liabilities – Other assets and liabilities, including but not limited to; deferred taxes, pensions, lawsuits, exit and disposal cost obligations, guarantees, capital lease obligations must also be valued.
- Non-Controlling Interest ("NCI") – A non-controlling interest acquired in a business combination should be measured at fair value at the acquisition-date[19]. Generally, the Company will determine the fair value of a non-controlling interest based upon the consideration transferred for the amount of interest obtained. For example, if the Company pays $90M to obtain a 90% voting interest in an entity through a business combination (or $1M per 1%), the Company's non-controlling interest (i.e. 10%) would be valued at $10M. However, careful consideration should be given as to whether the fair value of the Company's interest includes a control premium or discount[20].

The Company will make acquisition-specific determinations regarding the need to engage valuation specialists for fair value assessments of any acquired assets or assumed liabilities.

The above list is not intended to be comprehensive as every business combination differs. The Company must also pay careful attention to any pre-existing relationships (i.e. prior investments, management contracts, lawsuits, etc.) with the Acquiree, as unique accounting implications may apply.

Indemnification Assets

In a business combination, the seller may contractually indemnify the Company for the outcome of a contingency or uncertainty related to all or part of a specific asset or liability (for example, the seller may guarantee that a liability that was assumed will not exceed a specified amount). As a result of the indemnity the Company obtains an indemnification asset. The Company would recognize the indemnification asset in the same period in which it recognizes the indemnified item, measured on the same basis as the indemnified item.[21] For example, if the indemnification relates to a liability that was recognized at the acquisition date and measured at fair value, then the Company would recognize an indemnification asset at the acquisition date, measured at its fair value. However, if the indemnification relates to a contingency that is not recognized at the acquisition date than no indemnification asset would be recognized at the acquisition date[22].

Recognize and measure Goodwill or gain from a bargain purchase

The fourth step in accounting for a business combination is recognizing and measuring any goodwill or gain from a bargain purchase. The Company should recognize goodwill or a gain from a bargain purchase as of the acquisition date, measured as the difference between (1) and (2) below:

1) The aggregate of the following:
    - Consideration transferred
    - The fair value of any non-controlling interest in the Acquiree
    - In a business combination achieved in stages, the acquisition date fair value of the Acquirer's previously held interest in the Acquiree
2) The net of the acquisition date amounts of the identifiable assets acquired and liabilities assumed.[23]

Stated more simply, the Company records goodwill equal to the difference between the fair value of the Acquiree as measured in its entirety (i.e., in most circumstances this is the purchase price or consideration paid) less the fair value of the identifiable assets acquired and liabilities assumed.

[19] *ASC 805-20-30-7, Business Combinations, Identifiable Assets and Liabilities, and Any Noncontrolling Interest, Initial Measurement*
[20] *ASC 805-20-30-8, Business Combinations, Identifiable Assets and Liabilities, and Any Noncontrolling Interest, Initial Measurement*
[21] *ASC 805-20-25-27, Business Combinations, Identifiable Assets and Liabilities, and Any Noncontrolling Interest, Recognition*
[22] *ASC 805-20-25-28, Business Combinations, Identifiable Assets and Liabilities, and Any Noncontrolling Interest, Recognition*
[23] *ASC 805-30-30-1, Business Combinations, Goodwill or Gain from Bargain Purchase, Including Consideration Transferred, Initial Measurement*

In the event that the measurement above indicates the Company should recognize a gain from a bargain purchase (or negative goodwill), the Company will record a gain.[24] However, prior to recognizing the gain the Company should reassess whether it has correctly identified all of the assets acquired and all of the liabilities assumed.[25]

Fair Value Adjustments Subsequent to Initial Recognition

If the initial accounting for an acquisition is incomplete by the end of the reporting period in which the acquisition occurred, the Company will report provisional amounts in its financial statements for the incomplete items.[26] Any adjustments during the measurement period to the fair value of the identifiable assets acquired, liabilities assumed and any non-controlling interest in the Acquiree, based on facts and circumstances that existed as of the acquisition date, should be accounted for in the period in which the adjustments to the provisional amounts were determined with a corresponding adjustment to goodwill.[27]

Illustration 2 – Acquisition Method – Recognizing and measuring goodwill

Facts:

On April 1, 20X1, Hotel Company ABC and Hotel Company XYZ entered into a merger agreement. Hotel Company ABC transferred cash of $90 million to Hotel Company XYZ in exchange for 100% of the shares of Hotel Company XYZ. The Identifiable assets acquired included plant, property and equipment, below market in-place leases (with Hotel Company XYZ as the lessee), brand intangible assets, and working capital. The identified liabilities assumed included long-term mortgage loans.

In order to determine the fair value of the Identifiable assets acquired and the liabilities assumed, Hotel Company ABC hired a valuation specialist. The specialist determined that the Identifiable assets acquired had a fair value of $70 million and that the Identifiable liabilities assumed had a fair value of $10 million.

Analysis:

Identifying the Acquire and Determining the Acquisition Date

In this transaction, Hotel Company ABC transferred cash and obtained Control of Hotel Company XYZ. Therefore, Hotel Company ABC is the Acquirer in this merger. The Acquisition Date is the date that Hotel Company ABC obtained Control of Hotel Company XYZ, April 1, 20X1.

Recognizing and measuring the Identifiable assets and acquired, the liabilities assumed, and any noncontrolling interest in the Acquiree

Hotel Company ABC would recognize identifiable assets acquired and liabilities assumed at their fair value of $70 million and $10 million, respectively. Further, as Hotel Company ABC acquired 100% of the shares of Hotel Company XYZ, Hotel Company ABC would not have recognized any non-controlling interests associated with the acquisition.

Recognizing and measuring Goodwill

Hotel Company ABC determined that it would recognized Goodwill of $30 million at the Acquisition Date. The $30 million in Goodwill represents the difference between the $90 million cash consideration transferred and the net amount ($60 million) of the identified assets acquired and liabilities assumed ($70 - $10).

Illustration 3 – Acquisition Method - Recognizing and measuring a gain from a bargain purchase

Facts:

Assume the same facts in Illustration 2. However, this time the valuation specialist determined that the Identifiable assets acquired had a fair value of $120 million and that the identified liabilities assumed had a fair value of $20 million.

Analysis:

Hotel Company ABC determined that it would recognize a gain from a bargain purchase of $10 million at the Acquisition Date. The $10 million gain from a bargain purchase represents the difference between the $90 million cash consideration transferred and the net amount ($100 million) of the identified assets acquired and liabilities assumed ($120 - $20).

[24] *ASC 805-30-25-2, Business Combinations, Goodwill or Gain from Bargain Purchase, Including Consideration Transferred, Recognition*
[25] *ASC 805-30-25-4, Business Combinations, Goodwill or Gain from Bargain Purchase, Including Consideration Transferred, Recognition*
[26] *ASC 805-10-25-13, Business Combinations, Overall, Recognition*
[27] *ASC 805-10-25-17, Business Combinations, Overall, Recognition*

b. *Acquisition-Related Costs*

In a business combination, the Company will incur costs in order to acquire the Acquiree. These costs could include; advisory, legal, accounting, valuation, and other professional or consulting fees. These acquisition-related costs are recognized as an expense in the period in which they are incurred and the services are received. The only exception would be costs to issue equity or debt securities[28]. Equity issuance costs should be accounted for as a reduction in the proceeds of the stock issuance.[29] Debt issuance costs should be accounted for in accordance with the Company's **FP-FIN-022 – Debt Accounting Policy**.

c. *Business Combination Achieved in Stages*

A business combination achieved in stages in when an Acquirer obtains control of an Acquiree through a series of investments over time. In a business combination achieved in stages, the Company will re-measure any previously held equity interest in the Acquiree at the acquisition date fair value and recognize a gain or loss in the Company's statement of operations for the difference.[30] If the business combination achieved in stages relates to a previously held investment that is a foreign entity, any foreign Currency Translation Adjustment ("CTA") related to that investment shall be included in the calculation of the gain or loss[31]. See **FP-FIN-031 – Accounting for Foreign Currency Policy**.

Illustration 4 – Business combination achieved in stages

Facts:

Hotel Company A currently owns a 20% interest in Hotel Company B and accounts for its investment as an equity method investment. The investment is currently recorded at a carrying amount of $10 million. Hotel Company A obtains an additional 40% interest in Hotel Company B in exchange for consideration of $40 million.

Analysis:

Hotel Company A would recognize a gain of $10 million (fair value less carrying value of original 20% interest) upon the acquisition of the additional 40% interest in Hotel Company B. Refer to calculation below:

$$\text{Fair Value of original 20\% interest} = 20\% * \frac{\$40 \text{ million}}{40\%} = \$20 \text{ million}$$

Carrying Value of original 20% interest = $10 million

d. *Common Control Transactions*

When the Company transfers assets or exchanges shares between its own entities under common control, the entity that receives the net assets of the equity interests shall recognize the assets and liabilities transferred at the carrying amount as of the date of the transfer. If the carrying amounts of the assets and liabilities transferred differ from the historical cost of the parent of the entities under common control, then the receiving entity would recognize the assets and liabilities transferred at the historical cost of the parent of the entities under common control.[32]

SUBSEQUENT MEASUREMENT

In general, the Company will subsequently account for assets acquired, liabilities assumed or incurred, and equity instruments issued in a business combination in accordance with other accounting policies.[33] The following assets acquired, liabilities assumed and equity instruments issued should be accounted for in accordance with this policy.

Reacquired Rights

Reacquired rights are intangible assets that are recognized under the acquisition method when the Company reacquires a right through an acquisition that it had previously granted to the Acquiree. Such rights could include the right to use the Company's trade name under a franchise agreement or a right to lease technology from the Company. Any reacquired right intangible asset is amortized over the remaining contractual period of the contract in which the right was originally granted.[34]

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[28] *ASC 805-10-25-23, Business Combinations, Overall, Recognition*
[29] *ASC 340-10-S99-1, Other Assets and Deferred Costs, Overall, SEC Materials*
[30] *ASC 805-10-25-10, Business Combinations, Overall, Recognition*
[31] *ASC 805-10-25-10, Business Combinations, Overall, Recognition*
[32] *ASC 805-50-30-5, Business Combinations, Related Issues, Initial Measurement*
[33] *ASC 805-10-35-1, Business Combinations, Overall, Subsequent Measurement*
[34] *ASC 805-20-35-2, Business Combinations, Identifiable Assets and Liabilities, and Any Noncontrolling Interest, Subsequent Measurement*

Contingent Consideration

As part of the consideration transferred to the former owner, the Company may provide contingent consideration by agreeing to provide additional consideration in the future if certain future events occur or certain conditions are met. Consistent with the guidance in the **Initial Recognition and Measurement** section above, all consideration is initially measured at its fair value including any contingent consideration.

Changes to the fair value of contingent consideration due to events occurring after the acquisition date are accounted for as follows:

- Contingent consideration initially classified as equity – Shall not be remeasured and subsequent settlement shall be accounted for within equity.
- Contingent consideration initially classified as an asset or a liability – Shall be remeasured to fair value at each reporting date until the contingency is resolved. All changes in fair value shall be recognized through earnings.[35] Refer to **FP-FIN-014 Fair Value Accounting Policy** for additional guidance on fair value.

Indemnification Assets

The Company should measure and adjust its indemnification assets each reporting period on the same basis as the indemnified liability or asset, subject to any contractual limitations on its amount.[36]

DERECOGNITION

Indemnification Assets

The Company will derecognize an indemnification asset when it collects the asset, sells it, or otherwise loses the right to it.[37]

PRESENTATION

Any cash consideration transferred as part of an acquisition is presented as a cash outflow from investing activities in the Statement of Cash Flows.

FINANCIAL STATEMENT LINE ITEMS AFFECTED

Note: The following section addresses the financial statement line items affected by the accounting for routine transactions covered by this policy (R&P consultation may be required per the authorization section above). For all transactions that require a consultation with R&P, please defer to the guidance provided by R&P regarding the appropriate financial statement line items affected by the transaction.

Transaction	**Affected**		
	Balance Sheet Line Item	**Income Statement Line Item**	**Cash Flow Statement Section**
The Company acquirers 100% of a business in which goodwill is recognized	- Various assets/liabilities (credit/debit); - Goodwill (debit).	- N/A	- Investing Activities (Outflow)
The Company acquirers 100% of a business in which a gain on bargain purchase is recognized	- Various assets/liabilities (credit/debit).	- Other gain (loss), net (credit)	- Investing Activities (Outflow)
The Company acquirers less than 100% of a business	- Various assets/liabilities (credit/debit); - Noncontrolling interests (credit).	- N/A	- Investing Activities (Outflow)

[35] *ASC 805-30-35-1, Business Combinations, Goodwill or Gain from Bargain Purchase, Including Consideration Transferred, Subsequent Measurement*
[36] *ASC 805-20-35-4, Business Combinations, Identifiable Assets and Liabilities, and Any Noncontrolling Interest, Subsequent Measurement*
[37] *ASC 805-20-40-3, Business Combinations, Identifiable Assets and Liabilities, and Any Noncontrolling Interest, Derecognition*

Acquisition related costs	- Accounts payable or Cash and cash equivalents (credit)	- Other gain (loss), net (debit)	- Operating Activities (Outflow)

RELATED DOCUMENTS, TOOLS, AND TEMPLATES

POLICIES & PROCEDURES
FP-FIN-014 – Fair Value Accounting Policy
FP-FIN-022 – Debt Accounting Policy
FP-FIN-029 – Variable Interest Entity Accounting Policy

TOOLS & TEMPLATES	LOCATION
Comparison of Business Combination vs. Asset Acquisition	**Appendix I**
TERM/ACRONYM	**DEFINITION**
Acquiree	The business or businesses that the acquirer obtains control of in a business combination. This term also includes a nonprofit activity or business that a not-for-profit acquirer obtains control of in an acquisition by a not-for-profit.
Acquirer	The entity that obtains control of the acquiree. However, in a business combination in which a variable interest entity (“VIE”) is acquired, the primary beneficiary of that entity always is the acquirer.
Acquisition Date	The date on which the acquirer obtains control of the acquiree.
Business	An integrated set of activities and assets that is capable of being conducted and managed for the purpose of providing a return in the form of dividends, lower costs, or other economic benefits directly to investors or other owners, members, or participants. Note the criteria described in the scope section above must be met to for an integrated set of activities and assets to be deemed as a business.
Common Control	Entities under common control are typically either wholly owned or partially owned already by a Company. Thus any event or transaction which upon contemplation is already under control of Hilton will be carefully assessed as to whether common control exists. Examples of events or transactions deemed under common control may include asset transfers from one wholly owned Hilton entity to another or acquisition of the remaining minority interest in an already consolidated JV.
Contingent Consideration	Usually an obligation of the acquirer to transfer additional assets or equity interests to the former owners of an acquiree as part of the exchange for control of the acquiree if specified future events occur or conditions are met. However, contingent consideration also may give the acquirer the right to the return of previously transferred consideration if specified conditions are met.
Control or Controlling Financial Interest	Ownership of a majority voting interest, and, therefore, as a general rule ownership by one reporting entity directly or indirectly, of more than 50% of the outstanding voting shares of another entity is a condition pointing toward consolidation. The power to control may also exist with a lesser percentage ownership for example by contract, lease, agreement with other stockholders, or court decree.

Goodwill	An asset representing the future economic benefits arising from other assets acquired in a business combination or an acquisition by a not-for-profit entity that are not individually identified and separately recognized.
Identifiable	An asset is identifiable if it (1) is separable, that is, capable of being separated or divided from the entity and sold, transferred, licensed, rented, or exchanged, either individually or together with a related contract, identifiable asset, or liability, regardless of whether the entity intends to do so or (2) arises from contractual or other legal rights, regardless of whether those rights are transferable or separable from the entity or from other rights and obligations.
Indemnification Asset	The seller in a business combination may contractually indemnify the acquirer for the outcome of a contingency or uncertainty related to all or part of a specific asset or liability. For example, the seller may indemnify the acquirer against losses above a specified amount on a liability arising from a particular contingency; in other words, the seller will guarantee that the acquirer's liability will not exceed a specified amount. As a result, the acquirer obtains an indemnification asset.
Measurement Period	The period after the acquisition date during which the acquirer may adjust the provisional amounts recognized for a business combination. The measurement period provides the acquirer with a reasonable time to obtain the information necessary to identify and measure any of the following as of the acquisition date: a. The identifiable assets acquired, liabilities assumed, and any noncontrolling interest in the acquiree b. The consideration transferred for the acquiree c. In a business combination achieved in stages, the equity interest in the acquiree previously held by the acquirer The resulting goodwill or gain on a bargain purchase.
Reacquired Rights	As part of a business combination, an acquirer may reacquire a right that it had previously granted to the acquiree to use one or more of the acquirer's recognized or unrecognized assets. Examples of such rights include a right to use the acquirer's trade name under a franchise agreement or a right to use the acquirer's technology under a technology licensing agreement.

ROLES AND RESPONSIBILITIES

ENTITY/PERSONNEL	RESPONSIBILITIES
AccountingResearch&Policy@Hilton.com	The email represents the Accounting Research and Policy contact address. Please direct any questions regarding the interpretation or implementation of this policy to a member of the Accounting Research and Policy team or the listed e-mail.

APPENDIX

Appendix I: Comparison of Business Combination vs. Asset Acquisition

The following table summarizes the key differences between the accounting for a business combination versus an asset acquisition:

Item	Business Combination	Asset Acquisition
Transaction costs	Expensed as incurred.	Capitalized as a component of the cost of the assets acquired.

In-process research and development (“IPR&D”) assets	Capitalized as an indefinite-lived intangible asset, regardless of whether the IPR&D asset has an alternative future use.	Expensed unless the IPR&D has an alternative future use.
Measurement of nonfinancial assets	Generally recognized at fair value if recognition criteria in ASC 805-20-25-10 are met.	Recognized in accordance with other applicable GAAP, for example ASC 350. Any excess consideration transferred over the fair value of the nonfinancial assets is allocated to these assets based on the ASC 350 relative fair value requirement.
Goodwill	Only arises in a business combination.	Not recognized in an asset acquisition. Any excess consideration transferred over the fair value of the net assets acquired is allocated on a relative fair value basis to the identifiable net assets other than “non-qualifying” assets.
Consideration transferred is less than the fair value of the net assets acquired (bargain purchases)	Recognized as a gain in earnings on the Acquisition Date.	No gain is recognized in earnings. The excess fair value over the consideration transferred is allocated on a relative fair value basis to the net identifiable assets acquired other than “non-qualifying” assets.
Assembled workforce	Not recognized as a separate intangible asset but rather subsumed into goodwill.	Recognized separately as an intangible asset. For intangible assets that are acquired individually or within a group of assets, the FASB observed that the asset recognition criteria in Concepts Statement 5 are met even though the contractual-legal criterion or separability criterion has not been met.
Acquired contingencies	Preacquisition contingent assets and liabilities are recognized at the Acquisition Date at fair value if the acquisition-date fair value of the asset or liability can be determined during the measurement period. Otherwise, the contingent asset or liability is accounted for in accordance with ASC 450.	Preacquisition contingent assets and liabilities are accounted for in accordance with ASC 450.
Deferred taxes	Generally recorded on most temporary book/tax differences of assets acquired and liabilities assumed.	Because goodwill is not recognized in an asset acquisition, the measurement of deferred income tax assets acquired and liabilities assumed in an asset acquisition will usually require an iterative approach that affects the measurement of other individual assets and assumed liabilities in the net asset group. The measurement of deferred taxes on temporary differences in an asset acquisition is determined using the simultaneous equations method described in ASC 740.

Item	Business Combination	Asset Acquisition
Leases classification	Reassessment of lease classification is not required unless the lease contract has been significantly modified.	Reassessment of lease classification is required by a new lessee.
Contingent consideration	Recognized at its acquisition-date fair value as part of the consideration transferred.	Generally recognized when the contingency is resolved (i.e., when the contingent consideration is paid or becomes payable).